

About Value State Standard (VSS)

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Architecture: VFM® — Value Flow Mechanisms Architecture

Category: Governance & Enforcement

Subcategory: Value Lifecycle Governance

Parent Standard:

Value State Standard (VSS)

Governed Space:

Value State

Canonical Definition

Value State Standard (VSS) governs the identification, classification, determination, transition readiness, and persistent representation of the current governed state of value.

VSS establishes the methodological layer through which an organization can determine not merely whether value exists, but what condition that value currently occupies within a defined context and reference point.

The Standard creates a critical distinction:

Value $\neq$ Value State

and:

Value State $\neq$ Value Change

A value can continue to exist while moving through materially different states over time.

Why VSS Matters

Organizations frequently know that an asset, capability, resource, technology, relationship, or other value-bearing object exists, but lack a structured method for determining what state its value is actually in now.

Traditional systems may show that an object:

exists on an asset register; has an accounting value; remains legally owned; has a market price; remains physically available.

None of these facts necessarily establishes its current governed value state.

A machine may still exist but provide zero operational value.

A technology may currently have little commercial value while carrying substantial strategic value.

A capability may temporarily have zero value in one context while remaining highly valuable in another.

VSS makes these distinctions explicit and governable.

Governance Flow

Value Context → Value Origin → Value Emergence → Value Recognition → Value State → Value Change

Within VSS:

Governed Value Recognition Record → Value State Identification → Value State Classification → Value State Determination → Value State Transition Readiness → Value State Record → Governed Current Value State

The resulting state becomes the baseline for downstream Value Change Governance.

What VSS Helps Organizations Govern

VSS provides a structured method for answering:

What value is currently present?

What state does that value occupy?

Under what context is that state valid?

At what reference point was the state determined?

What conditions or limitations apply?

Is the state stable or approaching a possible transition?

What evidence supports the current state?

When must the state be reviewed?

This creates a persistent value-state layer rather than treating value as a static number.

Value Asset™

VSS provides the natural governance location for the canonical concept:

Value Asset™

A Value Asset™ represents a governed value-bearing condition in which an identified object, capability, relationship, resource, right, process, system, or other governed basis carries recognized value within a defined VFM® context.

Importantly:

Value Asset™ ≠ Accounting Asset

Value Asset™ ≠ Legal Property

Value Asset™ ≠ Marketable Asset

An organization may therefore identify forms of operational, technological, strategic, informational, infrastructural, or other value that conventional asset classifications do not adequately represent.

ZVA™ — Zero Value Asset™

VSS also provides the governance location for:

ZVA™ — Zero Value Asset™

ZVA™ represents a governed state in which an identifiable value-bearing object or basis continues to exist while its value within the defined context has reached zero.

This creates several important distinctions:

Zero Value ≠ Non-Existence

Zero Value ≠ Negative Value

Zero Value ≠ Permanent Extinction

Zero Value in Context A ≠ Zero Value in Context B

A ZVA™ may therefore remain identifiable, monitorable, transferable, recoverable, or capable of future value restoration.

Current State Before Change

VSS establishes an essential requirement for the wider VFM® lifecycle:

You cannot govern what changed in value unless you first know what state the value was in.

A value-state record creates that reference baseline.

For example:

State at T₁: Value Asset™ — Active → material event → State at T₂: Value Asset™ — Degraded

VFM® can then govern the difference between the two states through the subsequent Value Change Standard (VCS).

Without VSS, value change can become an assertion without a governed baseline.

Use Case 1 — Banking: Dynamic Collateral and

Enterprise Value State

A bank evaluates a corporate borrower whose balance sheet contains industrial equipment, intellectual property, production capabilities, software, contracts, inventories, and other value-bearing objects.

Conventional financial records may establish accounting values and legal ownership.

But the bank may need a different question answered:

What state is the underlying value actually in today?

A production machine may remain on the balance sheet while being technologically obsolete.

A patent may carry little current revenue but substantial strategic value.

A manufacturing capability may be temporarily inactive but readily recoverable.

Another asset may still physically exist while providing zero value within the operating model for which it was acquired.

VSS allows these conditions to be represented as governed value states rather than forcing every object into a single static valuation view.

The bank can therefore preserve:

Object → Value Context → Recognized Value → Current Value State → State Conditions → Transition Readiness

This does not replace accounting, credit analysis, collateral valuation, or banking regulation.

It provides an additional value-state governance layer through which changing economic and operational conditions can be represented more explicitly.

The bank no longer sees only what the borrower owns. It can govern what state the underlying value is actually in.

Use Case 2 — Space Mission: Capability Value

Across Mission Phases

A space mission contains thousands of systems, capabilities, resources, technologies, data assets, components, and operational options.

Their value is not constant throughout the mission.

A propulsion capability may carry extremely high value during one mission phase and little operational value after the relevant maneuver is complete.

A backup system may remain dormant for months while carrying substantial contingency value.

A component that has exhausted its original function may enter a ZVA™ state for that mission purpose while remaining valuable for another scientific, technical, recovery, or diagnostic purpose.

VSS allows mission planners to represent:

Mission Phase → Capability → Value Context

→ Current Value State → Dependencies

→ Transition Readiness

This creates a dynamic map of mission value.

The organization can identify capabilities whose value is:

active

conditional

dormant

constrained

degraded

zero

or otherwise classified according to the mission's governed value-state taxonomy.

This can support better resource allocation, redundancy decisions, mission planning, capability preservation, and cost reduction.

Instead of asking only:

“Does this capability still exist?”

mission governance can ask:

“Does this capability still create value for the mission, in what state, and under what conditions?”

Enterprise Value

VSS enables organizations to build a dynamic value-state layer across assets, capabilities, technologies, infrastructure, resources, relationships, digital systems, projects, and other value-bearing objects.

It can reveal situations where:

physical existence $\neq$ operational value

accounting recognition $\neq$ current value state

market price $\neq$ strategic value state

zero current value $\neq$ permanent value extinction

one object $\neq$ one universal value state

This makes VSS particularly relevant to banking, investment, industry, public finance, infrastructure, technology portfolios, AI systems, resource management, mission systems, and other environments where value continuously changes.

Foundational Principle

A governed value lifecycle must know the current state of value before it can legitimately determine how that value has changed.

Modul1

Related Documents

→ [Value State Standard \(VSS\)](#)

→ [VFM® Complete Standards & Modules Index](#)

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